

No. 20-12897

**THE UNITED STATES COURT OF APPEALS
FOR THE ELEVENTH CIRCUIT**

DEEPGULF, INC. AND TOKE OIL AND GAS, S.A.

Plaintiff/Appellant,

v.

MARC MOSZKOWSKI,

Defendant /Appellee

On Appeal from the United States District Court for the
Northern District of Florida, Pensacola Division
Case No. 3:18-cv-01466-TKW-MJF

**APPELLANTS RESPONSE TO JURSDICTIONAL QUESTION, MOTION
TO REMAND TO STATE COURT WITH INSTRUCTIONS AND MOTION
FOR ATTORNEYS FEES AND COSTS FOR WRONGFUL REMOVAL**

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Certificate of Interested Persons and Corporate Disclosure Statement

(Pursuant to Fed.R.App.P. 26.1 & 28 & 11th Cir. R. 26.1-1 through 1-3 & 28-1)

- 1. Ball, Jr., Braden K., 40 Palafox Place, Suite 300, Pensacola, FL 32502, Attorney for Appellants.**
- 2. Boller, Mary Allie E., 150 Government Street, Suite 1001, Mobile, AL 36602, Former Attorney for Appellee.**
- 3. Boller, Thomas R., 150 Government Street, Suite 1001, Mobile, AL 36602, Former Attorney for Appellee.**
- 4. DeepGulf, Inc., 431 East Zaragoza Street, Unit B, Pensacola, FL 32502, Appellant. DeepGulf, Inc. does not have any subsidiaries, conglomerates, affiliates, parent corporations or publicly held corporations that own 10% or more of its stock.**
- 5. Frank, Michael, 1 North Palafox, Pensacola, FL 32502, Magistrate Judge, U.S. District Court for the Northern District of Florida.**
- 6. Litvak Beasley Wilson & Ball, LLP, 40 Palafox Place, Suite 300, Pensacola, FL 32502, Law Firm for Appellant's Counsel.**
- 7. Moszkowski, Marc, Chalet De Bulvedere, Le Croy 73350, Champagny-EN, Vanoise, FF, Appellee.**
- 8. Thomas R. Boller, P.C., 150 Government Street, Suite 1001, Mobile, AL 36602, Former Law Firm for Appellee's Counsel.**
- 9. Toke Oil and Gas, S.A., 431 East Zaragoza Street, Unit B, Pensacola, FL 32502, Appellant. Toke Oil and Gas, S.A. is an entity formed in Timor Leste and is currently owned by Deepgulf, Inc.¹**
- 10. Wetherell, T. Kent, District Court Judge, 1 North Palafox, Pensacola, FL 32502, U.S. District Court for the Northern District of Florida.**

¹ The parent corporation information was inadvertently left off of prior Rule 26.1 disclosures.

Comes now, Appellants, by and through their undersigned attorney, and respond to the Jurisdictional Question posed by the Court on October 13, 2020. As part of that response, Appellants request that this Court void the Orders and Judgment of the District Court as there was never subject matter jurisdiction and remand this case to State Court. Furthermore, Appellants move for attorney's fees and costs against Appellee for the wrongful removal. The question asks that the parties address the citizenship of the parties, particularly that of Toke Oil and Gas, S.A., with respect to diversity and alienage jurisdiction.

As background, the Appellants initially filed this case in the Circuit Court in and for Escambia County, Florida. [Doc. 1, P. 22]. Appellee then removed the case to the United State District Court for the Northern District of Florida purportedly based upon 28 U.S.C. § 1441(b) [Doc. 1, P. 1-3]. The Complaint filed in Circuit Court alleged in Paragraph 3 that "Plaintiff Toke Oil & Gas is a wholly owned subsidiary of DeepGulf domiciled in Timor Leste also known as East Timor in the United States." [Doc. 1, P. 22]. Furthermore, in the Toke Oil & Gas, S.A. Unanimous Shareholder Agreement, which was attached and authenticated by the testimony of Appellee [Doc. 139-2, P. 77; Doc. 139-2, , P. 281-318], Toke Oil & Gas, S.A. is referred to as "to be licensed under the law of Timor Leste" [Doc. 139-2, P. 282], refers to the founding shareholders receiving certificates in Toke Oil & Gas, S.A. "once Toke Oil & Gas, S.A. is Registered under the laws of Timor-Leste"

[Doc. 139-2, P. 283], and states that the vision and objectives of the entity is “maintaining its own businesses with a view to becoming the premier national Petroleum Investment, Petroleum Services, Products, Distribution, and Investment Corporation of Timor-Leste and choice provider of Petroleum Services, and Products to the Democratic Republic of Timor-Leste.” [Doc. 139-2, P. 289]. Timor Leste is located on the island of Timor near Australia. Count VIII of the Complaint sought a determination of the ownership rights of Toke Oil & Gas, S.A. and Count IX of the Complaint sought an accounting from the Defendant of Toke Oil & Gas, S.A.’s revenues and expenses [Doc. 1, P. 34-26; Doc. 150, P. 11]. Both of these Counts were disposed of upon an Order on Motions for Summary Judgment entered by the District Court [Doc. 150, P. 11-12].

Upon review of the case and the parties, Appellants agree that the Appellee wrongfully removed this case from state court. The presence of Toke Oil and Gas, S.A., an entity formed in Timor Leste and the presence of Appellee, a citizen of France destroys full diversity under alien jurisdiction. Molinas Valle Del Cibao, C. por A v. Lama, 633 F.3d 1330, 1340 (11th Cir. 2011).

The letter from the Clerk of Court dated October 13, 2020 suggests that if the court is without jurisdiction, this appeal will be dismissed. While dismissal is technically necessary it should be coupled with an Order for Remand like that which is found in the case of Thermoset Corporation v. Building Materials Corp of

America, 849 F.3d 1313 (11th Cir. 2017). In Thermoset, the 11th Circuit noticed that the pleadings did not sufficiently allege the citizenship of a party of the case after the notice of appeal had been filed. Id. at 1316. That court determined that the parties were not diverse at the time of removal. Id. at 1316. At the trial level in Thermoset, GAF had removed the case from state court to federal court. Id. at 1315. The court entered a judgment against Thermoset. Id. at 1316. Thermoset appealed that judgment. Id. at 1316. In determining how to treat the case upon the discovery of the lack of diversity on appeal, the Thermoset court emphasized that GAF, the prevailing party at the District Court level was the party that had invoked the District Court's diversity jurisdiction. Id. at 1320. "Had Thermoset initiated its action in federal district court, we might have reason to think that sending the entire case back to state court would unfairly benefit Thermoset and conflict with 'equity and good conscience.'" Id. at 1320. However, that is not what happened—GAF had removed the case and it was GAF's burden to prove diversity jurisdiction. Id. at 1320. Based upon that reasoning, the Thermoset court vacated the District Court's summary judgment order and sent the case back to the District Court with instructions to remand it to the Florida state court for further proceedings. Id. at 1321.

In the present case, Appellee invoked the District Court's jurisdiction, which it turns out it did not have. Orders relating to the merits of the underlying action are void if issued without subject matter jurisdiction. OOO-RM Invest v. Net Element

International, Inc., 2014 WL 12613282 (S.D. Fla. 2014); Christopher v. Stanley-Bostitch, Inc. 240 F3d. 95 (1st Cir. 2001). As such, the case should be treated like this Court did in Thermoset—vacating the final judgment and summary judgment order and sending it back to the District Court with instructions to remand it to the Circuit Court in and for Escambia County with instructions to conduct further proceedings.

28 U.S.C. § 1447(c) states that “[a]n order remanding the case may require payment of just costs and any actual expenses, including attorney fees, incurred as a result of the removal.” Therefore, since Appellee did not and, under the applicable caselaw, could not have an objectively reasonable basis for removal of this case from state court to federal court, Appellants are entitled to just costs and actual expenses, including attorneys fees incurred as a result of Appellee’s removal of the case. Rae v. Perry, 392 Fed.Appx. 753 (11th Cir 2010); Gonzalez v. J.C. Penney Corp. 209 Fed.Appx. 867 (11th Cir. 2006). Objectively, it is clear that the requirement for complete diversity means that the presence of aliens as both plaintiff and defendant destroys full diversity under alien jurisdiction, even if the aliens are citizens of different countries. Molinos Valle Del Cibao, C. por A v. Lama, 633 F.3d 1330, 1340 (11th Cir. 2000). Thus, under no objective measure could Appellee have a reasonable basis for removal, when Appellee is a French citizen and Toke Oil & Gas, S.A. is an entity formed in East Timor. Therefore, Appellants is entitled to just

costs and actual expenses, including attorney's fees pursuant to 28 U.S.C. § 1447(c). Should the Court determine that Appellants are entitled to attorney's fees and costs, Appellants request that further proceedings be held to determine the amount of these attorney's fees and costs.

In no case would dismissal without remand with instructions as suggested in this pleading be fair and just to the parties involved. Such an order would deprive the Appellants of its right to a fair appeal, while upholding the judgment of the District Court, entered without possessing the requisite subject matter jurisdiction.

CONCLUSION

WHEREFORE, Appellants request that this honorable Court, should it find that subject matter jurisdiction has never existed, dismiss this matter with instructions to the District Court to remand the matter to State Court, to void all Orders and Judgments entered at the District Court level, and for entry of an order awarding attorney's fees and costs to Appellants for Appellee's wrongful removal of the matter to federal court.



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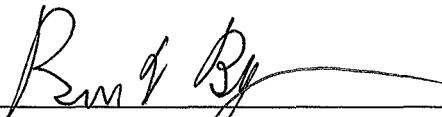
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RULE 32(G) CERTIFICATE OF TYPE-VOLUME COMPLIANCE

I HEREBY CERTIFY that this Response and Motion is produced in Times New Roman 14-point type and contains 1,222 words, exclusive of those items set forth in Fed.R. Ann.P. 32(f).



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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 27th day of October, 2020, a copy of the foregoing has been furnished to the Defendant/Appellee, Marc M. Moszkowski, Chalet De Bulvedere, Le Crey 73350, Champagny-EN, Vanoise, FF (m.moszkowski@deepgulf.net) via the Court's E-filing system.

A handwritten signature in black ink, appearing to read 'Braden K. Ball, Jr.', written over a horizontal line.

BRADEN K. BALL, JR.